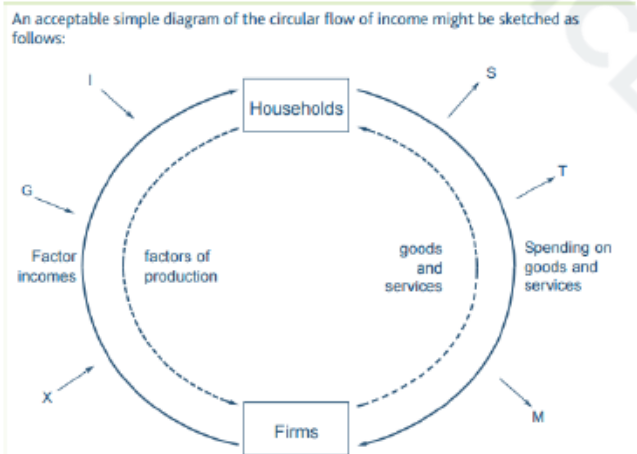


Mark Scheme

Q1.

Question Number	Answer	Mark
(a)	A	(1)

Question Number	Answer	Mark
(b)	Knowledge 2, Application 1, Analysis 1 Knowledge/understanding: 1 mark for identifying an effect on the circular flow of income. 1 mark for any specific reference to injections (I, G, X) and/or withdrawals (S, T, M). 1 mark for any specific reference to flows between households and firms. Candidates may achieve these marks using a diagram. Application: 1 mark for reference to the chart, e.g. unemployment has fallen. Analysis: 1 mark for linked development, explaining link between unemployment and circular flow. For example: Unemployment fell by three percentage points resulting in rising consumption and investment (1) and further rounds of increases in disposable income (1) however household may also spend more on imports (1). An acceptable simple diagram of the circular flow of income might be sketched as follows: 	(4)

Q2.

Question Number	Answer	Mark
	D	(1)

Question Number	Answer	Mark
	Knowledge 1 Application 1 Analysis 1 Knowledge 1 mark for identification of one likely reason, e.g. - Falling oil price reducing cost of imports (1) - Relatively lower inflation in UK makes exports more competitive (1) - Improvement in quality of UK exports increases demand for them (1) - Depreciation of the exchange rate. (1) Application 1 mark for use of data from Figure 1, e.g. - trade deficit was approx. £1 billion in January 2015 (1) Analysis 1 mark for linked development of reason, e.g. - Fall in the value of the pound makes exports cheaper and imports more expensive. (1)	(3)

Q3.

Question Number	Answer	Mark
(a)	The only correct answer is A B is incorrect as although prices rising more slowly, the average price level were still increasing C is incorrect as there was disinflation between August 2018 and January 2019 D is incorrect as there was inflation between October 2016 and May 2017	(1)

Question Number	Answer	Mark
(b)	Knowledge 1, Application 1, Analysis 1 Knowledge/understanding: 1 mark for identifying one limitation, e.g. • Does not include housing costs (1) • There are sampling problems (1) • Basket of goods is updated only once a year (1) • Only measures the cost of living for an average household (1) Application: 1 mark, for e.g. • Reference to chart (1) • Current inflation rate (1) • CPI target is 2% +/- 1% (1) • Fewer than 60% reply to the survey (1) • New items such as canned pulses included (1) Analysis: 1 mark for linked development, e.g. • Monthly rent or mortgage interest repayments form a large part of consumers spending (1) • Not all the people respond to the survey or may not provide with accurate information (1) • Tastes and preferences change very frequently, and the basket may not reflect these new items (1) • The top and bottom 4% of income brackets are not included, and nor are pensioners (1)	(3)

Q4.

Question Number	Answer	Mark
(a)	The only correct answer is C A is not correct because earnings are adjusted for inflation and not interest rates B is not correct because between nominal earnings have increased by nearly £125 D is not correct because real earnings have remained steady throughout the given period	(1)

Question Number	Answer	Mark
(b)	Knowledge 1, Application 1, Analysis 1 Knowledge/understanding: 1 mark for, e.g. - Defining subjective happiness: happiness that may differ between individuals (1) - As real incomes increase, happiness increases (1) Application: 1 mark for reference to the chart, for e.g. - Real earnings have been steady throughout the time period given (1) - Real earnings have been constant at approximately £450-£460 per week (1) Analysis: 1 mark for linked development, e.g. - Higher earnings increase an individual's ability to afford/buy/spend on more goods and services (1) - As real earnings have not increased, people are unlikely to experience a big improvement in their living standards (1)	(3)

Q5.

Question Number	Answer	Mark
(a)	Application 2 Application: 1 mark for correct appropriate calculation e.g. $\% \text{ change} = \frac{\text{change}}{\text{original}} \times 100$ $= \frac{600}{200} \times 100 \text{ (1)}$ Answer = 300% or 300 Award 2 marks for correct answer	(2)

Question Number	Answer	Mark
(b)	Knowledge 2 Knowledge/understanding: 1 mark for partially correct explanation e.g. - Referring to exports – imports - Exports of goods and services minus imports of goods and services 2 marks for correct explanation e.g. - Measures total value of exports – total value of imports - Inflows minus outflows in money terms - Reference to four parts of the current account - Trade in goods - Trade in services - Primary income - Secondary income	(2)

Question Number	Answer	Mark
(c)	The only correct answer is C <i>A is not correct because the deficit increased</i> <i>B is not correct because there hasn't been a surplus</i> <i>D is not correct because there hasn't been a surplus</i>	(1)

Q6.

Question Number	Answer	Mark
(a)	The only correct answer is C A is not correct because when government spending is greater than taxation, it represents a budget deficit B is not correct because the balance of trade is always in deficit as indicated by negative values D is not correct because the value of exports is smaller than the value of imports	(1)

Question Number	Answer	Mark
(b)	Knowledge 1, Application 1, Analysis 1 Knowledge/understanding: 1 mark for identifying one likely reason, e.g. • Increasing real incomes (1) • Relatively low productivity (1) • Rising oil/commodity prices (1) • Appreciation of exchange rate (1) • Worsening of quality of UK exports (1) Application: 1 mark for reference to the chart, for e.g. • The UK's monthly trade balance was in a deficit of just under £2 billion at the end of 2017 (1) • Value of outflows is greater than value of inflows for the UK (1) Analysis: 1 mark for linked development, e.g. • Imports increase as UK consumers have a high marginal propensity to import (1) • Low productivity increases cost per unit: makes exports relatively more expensive, reducing the demand for domestic goods (1) • Higher oil / commodity prices increase the cost of imports as the UK is a net importer of oil and commodities (1) • Rise in the value of the pound makes exports relatively expensive and its imports relatively cheaper (1)	(3)

Q7.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge/Understanding: Identifying data 0.95 & 0.75 (1) Application: • Correct percentage change formula (1) • Correct data inputted into formula (1) Analysis: Calculation of the percentage change in the exchange rate: $0.75 - 0.95 / 0.95 \times 100 = -21\% \text{ (2)}$ N.B. award full marks for correct answer between -21% and -21.1% NB If no reference to minus/fall/decrease then maximum 4 marks	(5)

Question Number	Answer	Mark
(b)	Knowledge 2, Application 2, Analysis 2, Evaluation 2 Knowledge/understanding: 2 marks for identification of two factors (1+1), e.g. • falling oil prices • falling commodity prices • changing relative exchange rates • government fiscal tightening • low consumer or business confidence • increase in savings Analysis: 2 marks for linked explanation of how these explain the fall in Eurozone inflation (1+1), e.g. • Falling oil prices in the world economy reduce key costs of production such as transportation, reducing prices of many products in the economy Application: 2 marks (1+1) for reference to the data/candidates' own knowledge, e.g. • From figure 2, Eurozone inflation 0.1% in 2015 (1) • ECB predicts Eurozone inflation to rise 'by just 1 per cent in 2016' (extract A) (1) • Figure 2 shows disinflation occurring (1) • Inflation fell from just over 3% in 2011 (1) to less than 0.25% in 2015 (1) Evaluation: 2 marks for evaluation (1+1 / 2) • Inflation likely to rise in the future, with ECB expecting 1.6% in 2017 • Oil prices are very volatile and could easily rise rapidly due to world events such as instability in the Middle East • Rising GDP in the Eurozone may mean more demand-pull inflation in the future • Depends on extent of fiscal tightening by government • Oil prices a significant cost of production for businesses	(8)

Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 2, Likely impacts on the current accounts include: • Reduced demand for Eurozone exports as they appear more expensive when converted into other currencies. • Increased demand for Eurozone imports as they appear cheaper when converted into other currencies.	(6)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(c) continued	Evaluation 4 • Euro may not have appreciated against all currencies. • Euro may have appreciated against currencies of countries who do not receive many Eurozone exports. • Magnitude discussion • May change in the long term • Marshall-Lerner condition • J-curve effects • Non-price factors may be more important	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(d)	Knowledge 2, Application 2, Analysis 4, ECB QE programme is effective: • Explanation of process of QE • should encourage banks to increase lending and thus hopefully increase consumption/investment • Inflation/GDP may well have been much lower without QE • Confidence of markets would have been much lower without QE • QE programme to be extended for a further 6 months • Lower interest rates encourages consumption/investment, thus increasing AD and therefore inflation • Low government bond yields for Eurozone countries • Depreciation of the Euro affecting X-M NB One side of this argument should count as KAA and the opposing argument as Evaluation	(8)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(d) continued	Evaluation 4 ECB QE programme isn't effective: • Inflation likely to remain below target into at least 2017 • Low inflation is largely down to factors outside the central bank's control (e.g. oil prices) • Lack of confidence among firms and consumers meaning they are not responding as the ECB would like to the QE programme • Banks are still reluctant to lend money to firms and consumers • Time lags • Extension of QE programme suggests that it hasn't worked • Other policies may be more effective NB One side of this argument should count as KAA and the opposing argument as Evaluation	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 Potential policies may include: • Fiscal policies, e.g. reduced corporation tax to increase investment and therefore increase AD • Supply-side policies, e.g. increased investment in education to create a more highly-skilled and therefore more productive workforce N.B. Candidates may discuss more than one of each type of policy N.B. Candidates must discuss both fiscal and supply-side policies for level 3	(9)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(e) continued	Evaluation 6 Evaluation of the policies, e.g. - Governments in many Eurozone countries are having to focus on reducing national debt and can't afford policies such as tax cuts - Supply-side policies take a long time to have an impact on the economy	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Q8.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge/understanding: 1 mark for: - GDP per capita = $\text{GDP} \div \text{population}$/GDP per person (1). Application: 2 marks for: - GDP per capita for Burundi = $2.47 \text{ bn} / 16.14 \text{ mn} = \\153 (1) - GDP per capita for Kenya = $37.23 \text{ bn} / 62.78 \text{ mn} = \\593 (1) Analysis: 2 marks for: - Ratio of Burundi's GDP per capita: Kenya's GDP per capita = $153:593$ (1) = $1:3.9$ (1) [Accept $1:3.8$ to $1:4$]	(5)

Question Number	Answer	Mark
(b)	Knowledge 2, Application 2, Analysis 2, Evaluation 2 Knowledge/understanding: 2 marks for identification of two factors (1+1) Analysis: 2 marks for linked explanation of how these factors constrain growth (1+1), e.g. - land-locked (1) therefore high transport costs so limited opportunities for international trade (1) - low tax revenue (1) meaning government has insufficient funds for investment in education (1) - primary product dependency (1) price volatility leading to uncertain levels of income/investment (1) - civil war (1) destruction of infrastructure which discourages investment (1). Application: 2 marks for reference to the data (1+1), e.g. - coffee and tea make up almost 70% of Burundi's export earnings - high level of tax exemptions – 3% of GDP. Evaluation: 2 marks for two evaluative comments, e.g. - civil war as a temporary factor (1) - government might get money through aid (1) OR 2 marks for identification and linked development, e.g. - growth of emerging economies (1) has led to increase in primary product prices (1) - FDI by China (1) has led to improved infrastructure (1).	(8)

Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 4 GDP is the best way to compare living standards: • it is an internationally comparable measure • it is a fairly simple measure, meaning a low opportunity cost to the governments of these developing countries • it requires less data than some more sophisticated measures, reducing the chance of data inaccuracy • there is GDP data for all five countries, whereas there is no IHDI data for Burundi • can be refined into per capita / PPP measures to make more representative • the rank orders of the five countries are the same using GDP as using GDP per capita and HDI	(8)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(c) continued	Evaluation 4 • it does not include much of what is important in determining standard of living, e.g. education, healthcare • it does not show how income is distributed among the population • it does not take account of any unpaid/illegal/'cash in hand' work, particularly a problem in developing countries like these, with a large subsistence agriculture sector • GDP doesn't take into account different costs of living (without a PPP adjustment) – compare Rwanda and Uganda	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(d)	Knowledge 2, Application 2, Analysis 2 Possible benefits include: - increased regional trade has led to faster economic growth - firms can take advantage of increased economies of scale - trade creation - free movement of labour may fill labour shortages in individual countries - increased investment, either domestic or foreign - negotiating together may give the countries more power at, e.g., WTO talks.	(6)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no links between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(d) continued	Evaluation 4 Possible costs include: • trade diversion • loss of revenue from import tariffs from fellow members. General evaluative points: • Kenya is the largest economy in the EAC, so has the smallest additional economies of scale to gain • 'Kenya's exports to the other EAC members were about US\$1.2 billion in 2010' (Extract 2), so benefits appear to be significant • Kenya probably gains less benefit from the smaller countries being co-members of the EAC, e.g. Burundi.	(4)

Level	Mark	Descriptor
	0	No evaluative comments
Level 1	1-2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3-4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 Candidates may analyse the costs in their answer, and the benefits as evaluation (or vice versa), or may analyse the costs and benefits in their answer, and consider the significance of their arguments as evaluation. Possible costs include: • loss of control over monetary policy (given current differences in economic development, perhaps unlikely that one common policy would be optimal for all) • loss of control over exchange rate policy • resulting inability to respond differently to asymmetric shocks • changeover costs/menu costs • consumer confusion • may be inflationary if all producers round up their new prices/loss of consumer surplus. Possible benefits include: • reduction in transaction costs • elimination of exchange rate risk (leading to more trade and investment) • reduction in region-wide price differentials / may reduce inflation/increase consumer surplus • a larger and more diverse economic area may be less vulnerable to exogenous shocks and speculative currency attacks.	(9)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(e) continued	Evaluation 6 (Costs and benefits are outlined under Knowledge, Application and Analysis.) General evaluative points: - the countries have benefited to different extents: Kenya and Rwanda seem to have done well, while Burundi has not seen as much of a benefit - the euro area is a significant trade partner more so than the other EAC countries (in 2008) - increasing economic openness should reduce the potential for asymmetric shocks as time progresses - low levels of intra-EAC trade mean that the benefits from reduced transaction costs will be very small.	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Q9.

Question Number	Answer	Mark
(a)	Knowledge 1 Knowledge/understanding 1 mark for definition, e.g. • an increase in real GDP (1) OR • an increase in an economy's productive capacity/potential (1).	(1)

Question Number	Answer	Mark
(b)	Application 2 $(1534 - 1506) / 1506 \times 100 (1) = 1.9\% (1)$ NB if the answer given is between 1.8% and 2% award 2 marks.	(2)

Question Number	Answer	Mark
(c)	D	(1)

Q10.

Question Number	Answer	Mark
	Knowledge 1 Knowledge/understanding 1 mark for definition, e.g. • Number of people claiming unemployment benefit/jobseekers allowance	(1)

Question Number	Answer	Mark
	Application 2 858,344 – 961,149 = -102,805 $(-102,805 / 961,149) \times 100 (1) = -10.7\% (1)$ 2 marks for -10.7% (or written equivalent- e.g. 'fell by 10.7%') If answer given is between -10.6% and -11%, award 2 marks. If answer given is between 10.6% and 11%, award 1 mark.	(2)
Question Number	Answer	Mark
	B	(1)